Invitation Homes (NYSE: INVH)

5-year IRR: 15.3%
Implied Upside: 30.3%

Real Assets Group

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January 28th, 2024

Western Investment Club

I.

Business Overview

Business Overview

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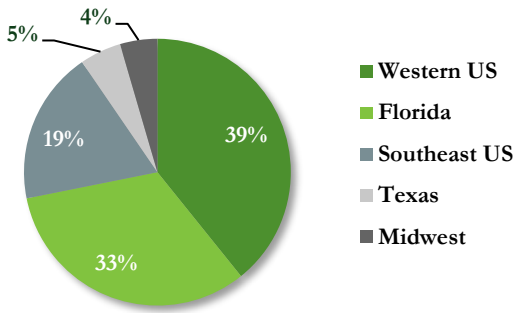
Invitation Homes is a leader in single-family home leasing

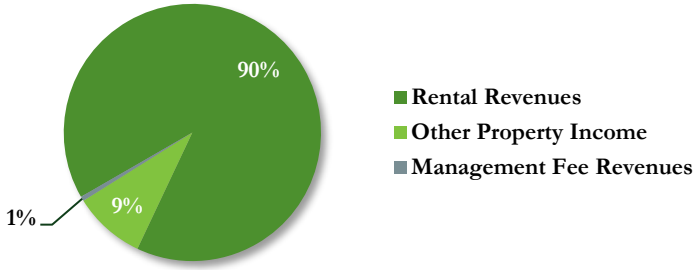
Business Overview

- Founded in 2012, Invitation Homes (NYSE: INVH) is a leading single-family home leasing and management company, that boasts a portfolio of over 80K homes
- Headquartered in Dallas, Texas, INVH operates across 13 markets in 5 segments in the United States: Western US, Florida, Southeast US, Texas, and Midwest

Geographic Breakdown



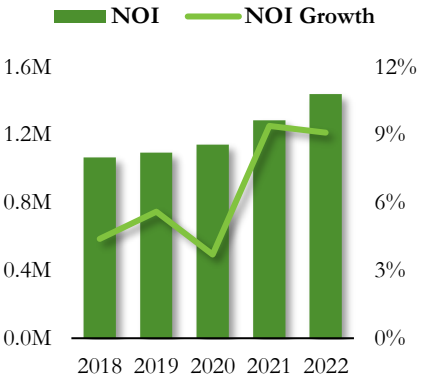
Revenue Breakdown



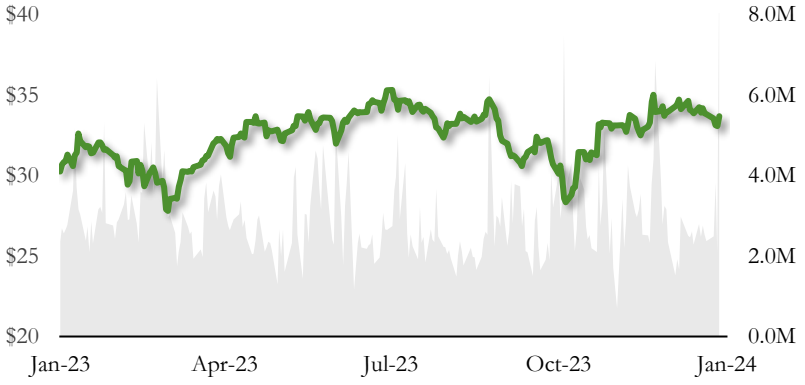
Key Financials

Ticker	NYSE: INVH
Share Price	$69.24
EV	106.14B
Market Cap	83.44B
EV/EBITDA	13.59x
Core FFO/Share*	$1.32
AFFO/Shares*	$1.12

Year-to-Date



52-Week Stock Chart



Sources: CapitalIQ, Company Filings, Yahoo Finance

Key Terms Overview

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Real estate specific terminology explained

REIT

- A **real estate investment trust (REIT)** is a company that owns and/or manages income-generating properties
- In the US, must channel >90% of EBIT as dividends
- Most of dividend payment taxed as such
- Payments resulting from sales of property → capital gain
- Cash flow from unusual activities → return on capital

FFO

- **Funds from operations (FFO)** refers to the direct operating cash flow of a REIT
  - **FFO = NI + D/A – PSG (L) – II (E)**
- **Adjusted funds from operations (AFFO)** paints a broader picture of FFO, including recurring operational CF items
  - **AFFO = FFO + Rent Inc. - CAPEX – Maint.**

NOI

- **Net operating income (NOI)** is a real-estate specific metric that refers to the operating income of a REIT, only including items most directly related to operations (i.e., not expenses like SG&A)
  - **NOI = RE Revenue - OPEX**

Cap Rate

- The **capitalization rate** is a profitability metric that weighs the NOI of a property or a portfolio against its current value
  - **Cap Rate = NOI / Value**
- Interest rates drive cap rate, as investors demand a higher ROI with a rising CoD

Sources: Investopedia

Market Segmentation in the SFH Space

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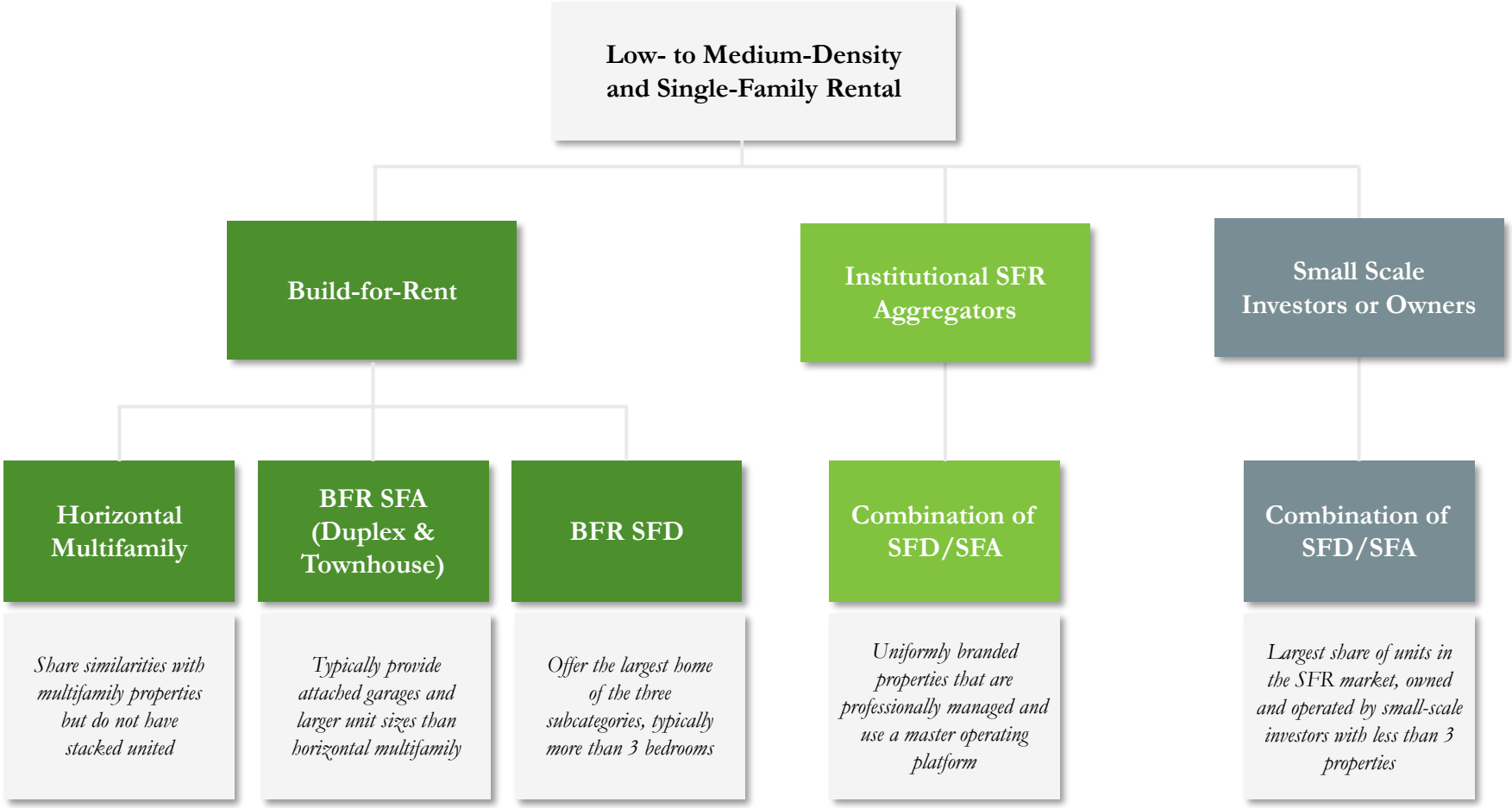
There are three broad segments in the SFH space

Market Structure



Sources: Company Filings

II.

Internal & External Analysis

Value Chain

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High quality homes create value for Invitation Homes

Value Chain

Invitation Homes uses high-level home technology and well-rounded property management as its selling points.

1 Home Acquisition

- Acquire single-family homes from various sources
- Partnership with other private real estate firms to acquire homes in premium locations

2 Design & Renovation

- Renovate homes to fit the company's standards and its selling points
- Typically includes painting, flooring, appliance upgrades, and "Smart Home Technology"

3 Leasing & Management

- Lease the homes to tenants and provides them with a wide range of services
- Manages the properties, including maintenance, repairs, etc.
- Handle other services like rent collection, lease renewals, customer services

4 Disposition

- Sell properties that no longer fits its investment strategy or have reached the end of their useful life
- Sell properties to take advantage of favorable market conditions

Sources: Company Filings

Best in Class SFH Rentals

invitationhomes

INVH renters benefit from top-notch service

Customer Offerings

- ProCare: customer service platform operates 24/7 for emergency maintenance, sends repairmen to houses on-demand as soon as requests are made
- Rapid Service: because INVH only operates in 16 core markets, repair service is dispatched quickly
- Premier Mobile Maintenance App: residents can make photo-enabled maintenance requests, allowing INVH to diagnose the problem before sending out repairmen

Continual Additions

Smart Home Service

Discounted Internet

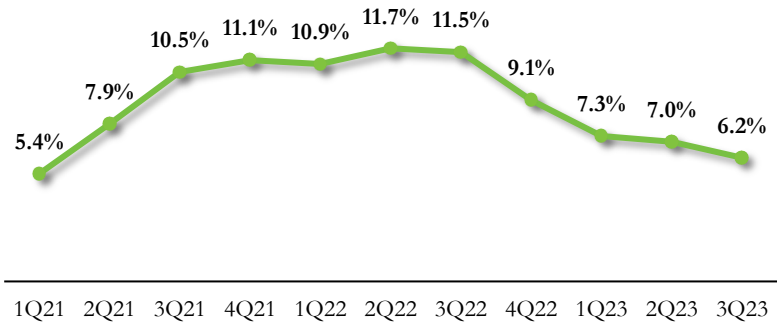
New Filters Per Quarter

Increasing suite of value-add services extracts higher rent

Positive Results

- Average Resident Satisfaction Score: 4.5/5.0 in 2023
- Better Business Bureau Accreditation: A+ rating
- Because of high renter satisfaction, INVH is able to maintain 97% same store occupancy rates as well as industry leading same store NOI growth, driven by an ability to raise rents
- New additions to the value-add services, such as energy optimization, insurance, pest control, and landscaping, will drive NOI and renter satisfaction

History of Rent Increases



Sources: Company Filings, Tegus

Maintenance Drives Value

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Invitation Homes follows a seven-step maintenance program

Extensive Maintenance Protocol

- Emergency repairs are addressed immediately, while minor repairs can be bundled into ProCare visits for efficiency
- Their mobile maintenance app launched in 2021 allows residents to make camera-enabled maintenance requests on their own terms and allows us to diagnose the problem before we arrive and reduce the number of return trips

	Initial Showing / Leasing Interaction	ProCare Resident Orientation (RO)	ProCare 45-Day Maintenance Visit	Property Condition Assessment Program	ProCare 6-Month Maintenance Visit	ProCare Pre-Move Out Visit (PMOV)	Move Out Inspection / Budget Creation
Educate Residents	✓	✓	✓	✓	✓	✓	
Make Repairs		✓	✓	✓	✓		✓
Check Home Condition	✓		✓	✓	✓	✓	✓

Sources: Company Filings, Investor Presentation

Sales Strategy

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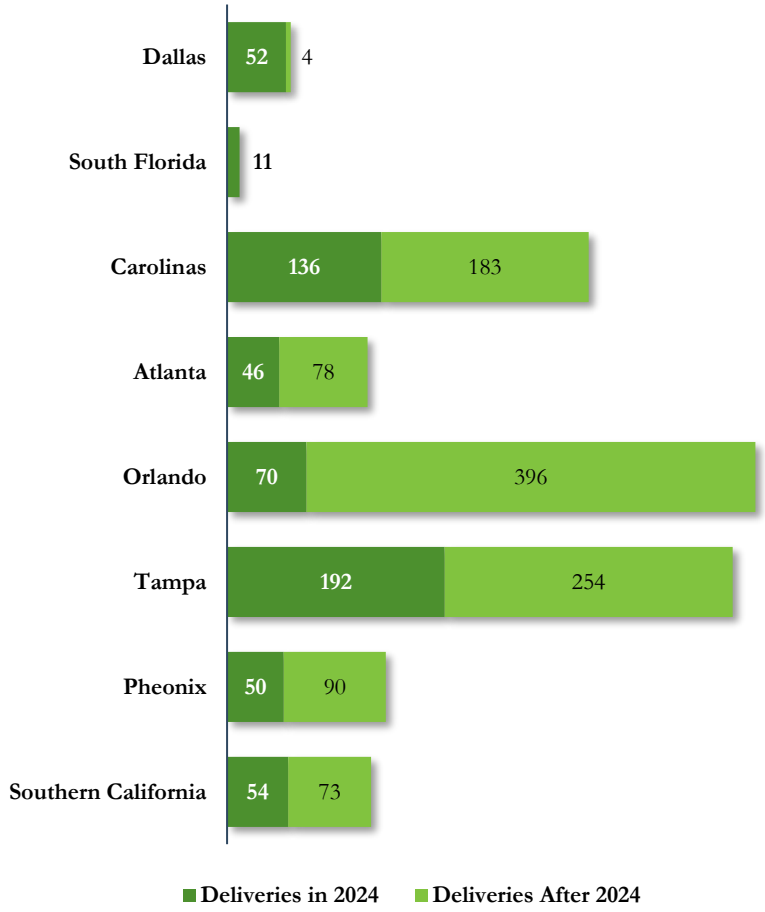
Invitation's strategic Sunbelt expansion and strong sales algorithm ensures low vacancy rates

Geographic Focus



Strategic Locations

- INVH is targeting the Sunbelt region for new home acquisitions
- The company's existing portfolio is predominantly in Sunbelt states, so new homes benefit from scale and density and the associated cost savings
- The Sunbelt region is also experiencing rapid growth and presents an opportunity for cap rate expansion if rent prices soar

Strong Sales Algorithm

- Multi-channel sales algorithm achieves 97% occupancy rate
- INVH leverages "loss to lease" by setting rents slightly below market rates to attract and maintain high occupancy
- Further targets young millennials/first-time buyers through an emphasis on amenities and lack of debt commitment
- Their referral program incentivizes up to one month of free rent to drive sticky and word-of-mouth customer acquisition, which is compensated only when signed

Sources: Company Filings

Sunbelt Region to Experience Growth

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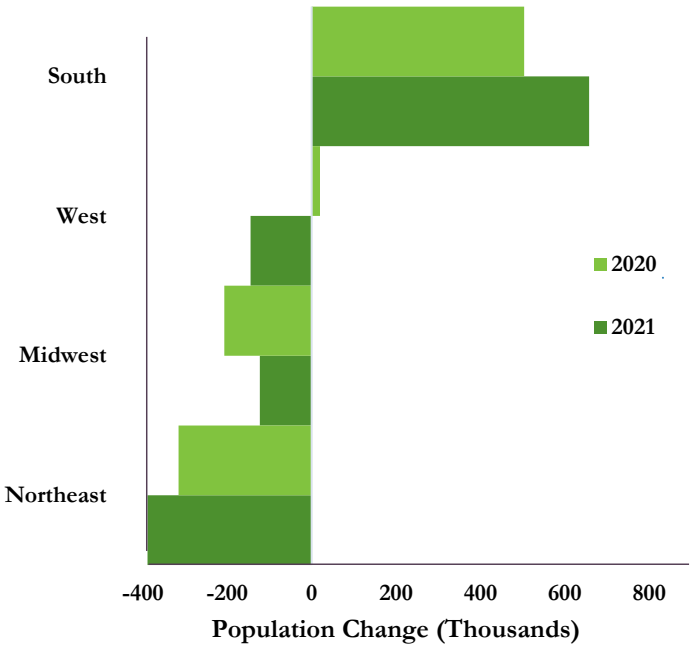
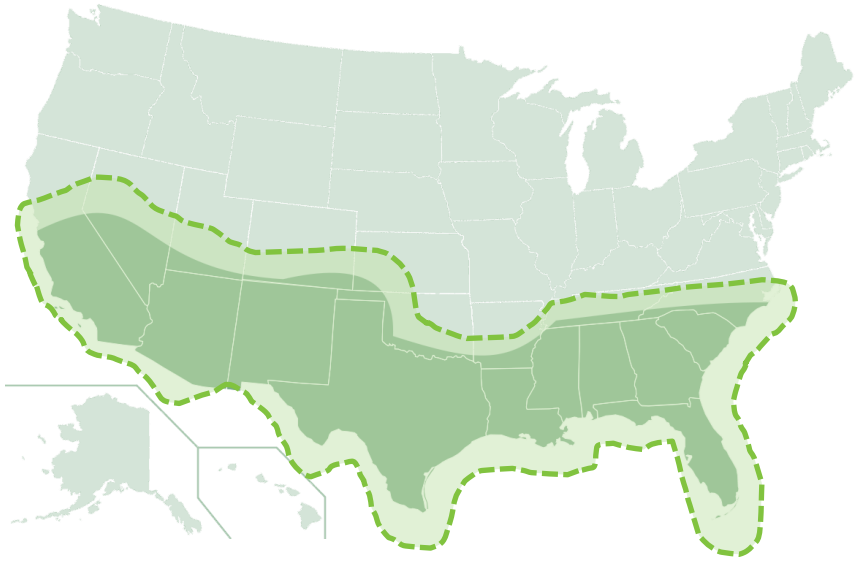
The trend towards the sunbelt will increase demand for housing

Migration

People from all over the US are moving to the sunbelt



Increased Home Demand



Over the next decade, Sun Belt population growth is expected to accelerate by another 19 million (+13%), whereas non-Sun Belt states are forecasted to rise by only 3 million (+2%). All ages are drawn to the area more and more for its business-friendly environment, lower cost of living, quality of life, and mild climate.

~ Clarion Partners, Insights: The Rise of the U.S. Sun Belt

Source: Clarion Partners

Diverse Acquisition Streams

invitation homes

INVH takes a channel agnostic approach to acquisitions

Channel Agnostic, Location Specific

Broker/MLS
Leverage AcquisitionIQ and broker network to maximize deal flow

Builder Partnerships
Foster relationships to target new-build supply in targeted neighborhoods

Auction
Participate in municipal and country auctions

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Investor Consolidation
Active aggregation of 5+ unit investor portfolios

iBuyers
Positioned to be "buyer of choice" as the iBuyer market continues to grow

Sale Leaseback
Developing program targeting supply owned by individuals interested in transitioning to leasing lifestyle

Sources: Company Filings, Tegus

Acquisition Strategy

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Invitation Homes' acquisition strategy is a key part of the business

Portfolio Acquisitions

Riverstone Merger — *2011*

Treehouse Group acquires 1K distressed homes and **merges with property management firm Riverstone Residential** to create Invitation Homes

Acquired by BX — *2012*

The merged **company is acquired by Blackstone**, creating Invitation Homes. BX exits its position in 2017 via IPO

Starwood Merger — *2017*

Invitation Homes closes a **$20B merger with Starwood spinoff, Starwood Waypoint Homes**, to secure a portfolio with 80K+ homes

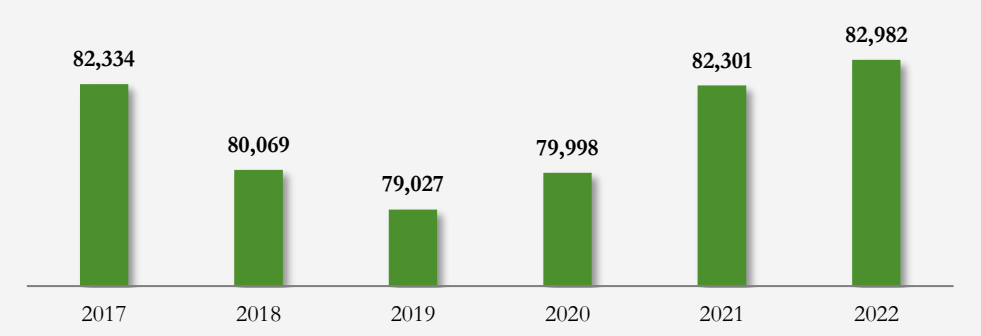
Acquired Portfolio — *2023*

In July 2023, **INVH acquired ~2K homes**, 90% of them situated in Sunbelt geographies with existing operations

Acquisitions from Builders

	Deliveries in 2024	Deliveries after 2024	Total
Southern California	54	73	**127**
Phoenix	50	90	**140**
Tampa	192	254	**446**
Orlando	70	396	**466**
Atlanta	46	78	**124**
Carolinas	136	183	**319**
South Florida	11	0	**11**
Dallas	52	4	**56**
Total	**611**	**1078**	**1689**

Total Property Count



Active portfolio management creates a runway for accretive reinvestment

Sources: Capital IQ, Company Filings

Excellent Capital Allocators

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Management continuously demonstrates its ability to effectively allocate capital

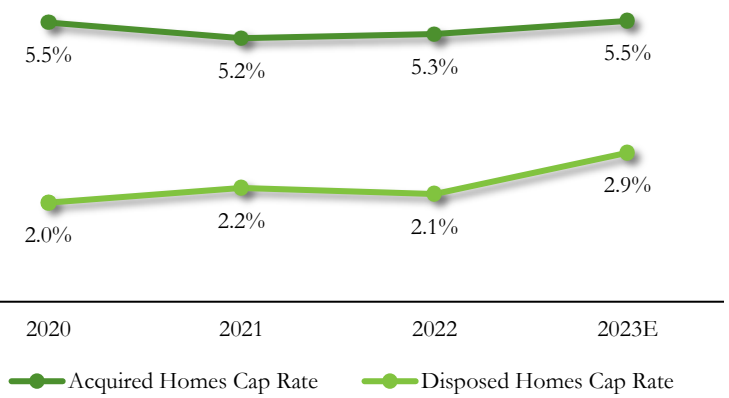
Cap Rate Arbitrage Strategy

Selling off low cap rate homes and acquiring newer houses with higher cap rates enables INVH to strategically recycle its capital

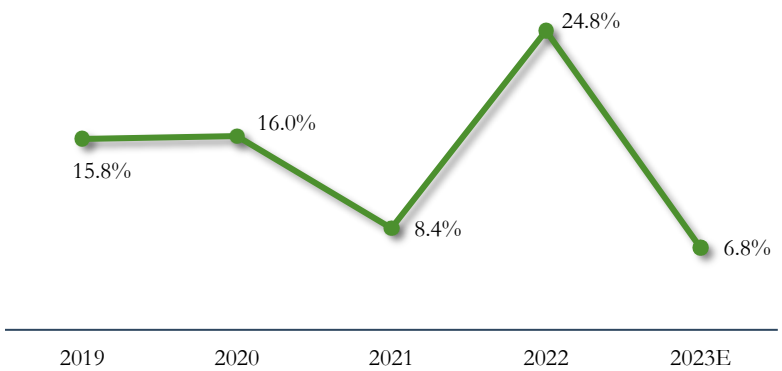
"Being able to accretively invest that capital back into homes at much higher cap rates […], we view as a very good capital allocation strategy for our business going forward."

~Dallas B. Tanner, *Co-Founder and CEO*

Efficient Capital Recycling



ROIIC on Home Acquisitions



Key Management

Dallas B. Tanner
CEO

Years with INVH: 12
Prior Experience:
Treehouse Group

Jonathan S. Olsen
CFO

Years with INVH: 12
Prior Experience:
Goldman Sachs, UBS

Charles D. Young
COO

Years with INVH: 7
Prior Experience:
Goldman Sachs, SWH

Sources: Company Filings, Tegus

The Renter Value Proposition

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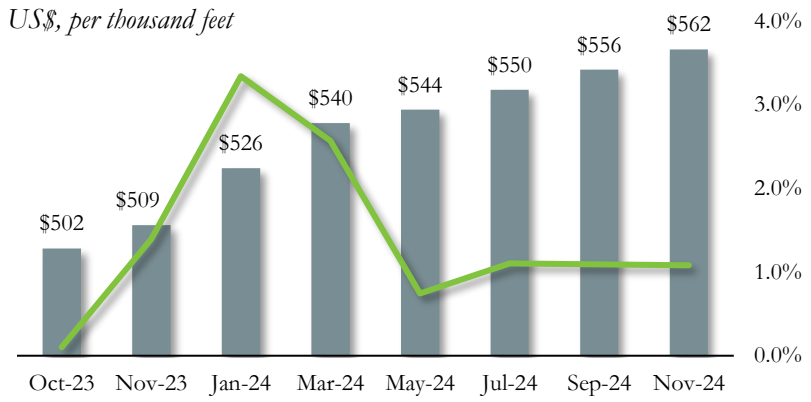
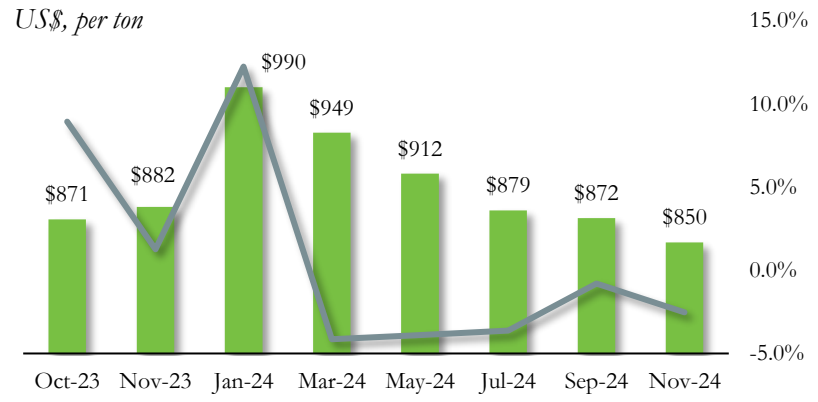
Costs for housing materials are generally on the rise

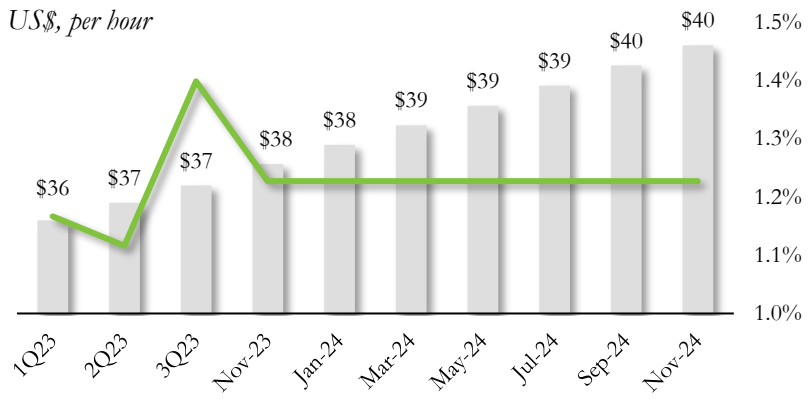
Lumber Futures



Steel Futures



Forecast in Construction Wages



Upward Pressures on Housing Inputs

- US infrastructure building has and will be accelerated due to favorable legislation amounting to over one trillion US dollars for projects, including the Infrastructure Investment and Jobs Act and the CHIPS Act
- Labor has a secular tailwind in the shortage of skilled construction workers stemming from accelerating demand
- Tariffs on Canadian lumber, combined with regular supply-decreasing wildfires and a post-pandemic pick-up in lumber-requiring home projects are strengthening its price

All dollar values in US$ unless otherwise stated
Sources: CME, FRED

The Renter Value Proposition

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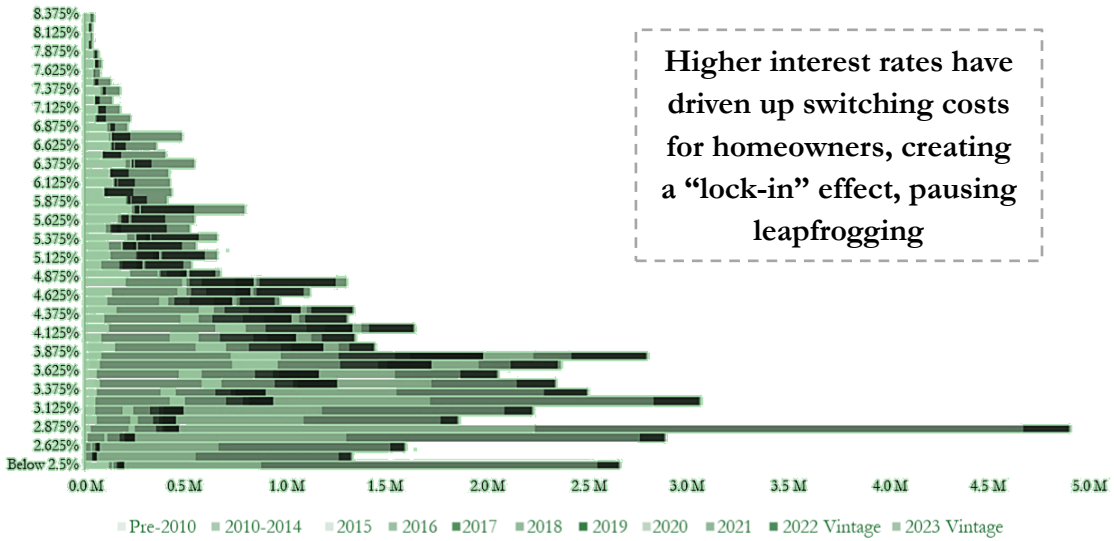
Elevated borrowing costs have doubled monthly payments for prospective homebuyers

Current Interest Rates Discourage Selling Homes

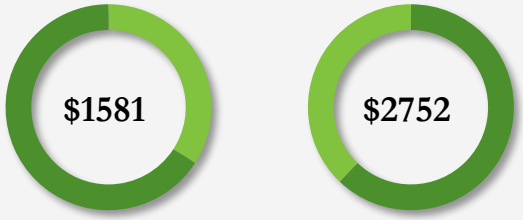
Mortgage Interest Rates



Higher interest rates have driven up switching costs for homeowners, creating a "lock-in" effect, pausing leapfrogging

Most outstanding mortgages were originated or refinanced during the pandemic at low rates: **64% of active mortgages are <4%.** Median rates on mortgages are just **south of 8%** today; while a leapfrog to a mid-market home would normally double monthly payments, higher interest costs could mean it may triple or even quadruple.

$375K Purchase Price



$750K Purchase Price

- Average Principal Component
- Average Interest Component

For illustrative purposes, a down payment of $0 was assumed. This would be higher in a real-world scenario.
All dollar values in US$ unless otherwise stated
Source: BlackKnight Mortgage Monitor

The Renter Value Proposition

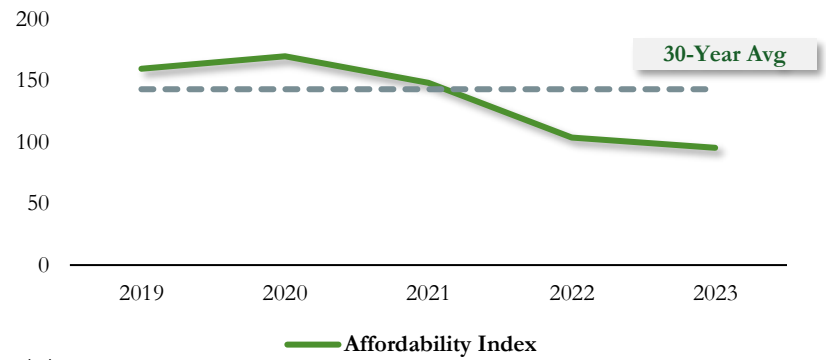
invitationhomes

Renting has become a more attractive alternative for Americans

Housing Unaffordability

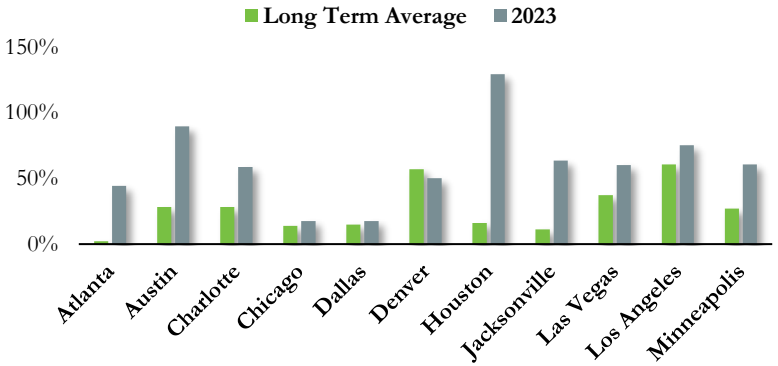
- The high interest environment has discouraged homeowners from purchasing homes or refinancing their mortgages
- With 64% of active mortgages financed at less than a 4% interest rate, this has caused a "lock-in" effect; a lull in real estate activity as owners are waiting for more favorable economic conditions to upgrade their houses
- Additionally, new homes are becoming more expensive to build because of the rise in input costs

U.S. Housing Affordability Index



Cost of Owning at All-Time Highs

Cost to Own vs. Rent Premium



- With the cost of owning at a near all-time high, leasing is becoming increasingly desirable among Americans
- With a resilient demand-base for single-family homes, this secular trend is driving demand for renters like Invitation Homes
- INVH renters save an average of $1300 a month vs. buying

"The demand for single-family homes for lease continues to remain robust due to favorable demographics, a growing desire for flexibility and convenience and soaring mortgage rates that make leasing one of our homes much more attractive and affordable than owning a similar home."
~Dallas B. Tanner, Co-Founder and CEO

Sources: Company Filings, FRED, JPM Equity Research, Tegus

III.

Thesis I

Homebuilder Acquisition History

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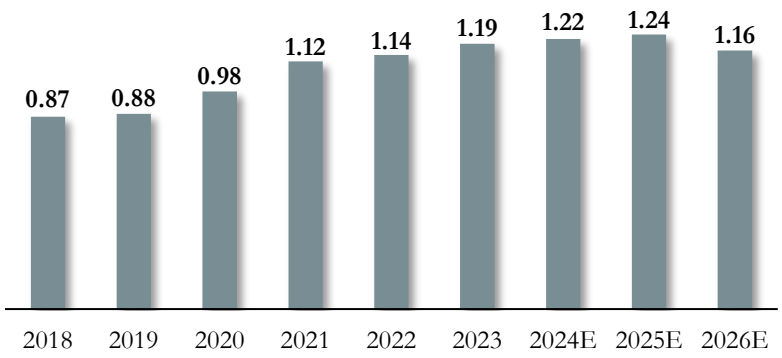
Invitation has extensive relationships with homebuilders across the country

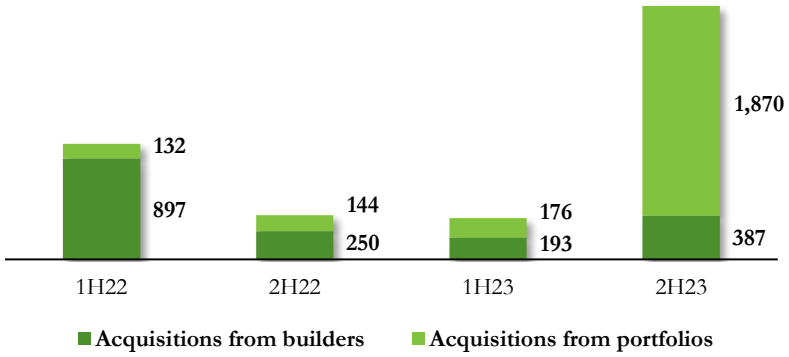
Single Family Housing Starts (*millions*)



Commentary

- INVH enters into contractual agreements with home builders – the builder will build a set number of homes over the next several years and INVH will purchase them
- These contracts are entered into in a single transaction and home delivery usually occurs over four to six years
- Every year, INVH enters into new contracts with homebuilders, and as of 3Q23 the pipeline sits at 1,931 homes, primarily in the Sunbelt region

Acquisition Mix and Implications



- Historical acquisitions form home builders have ranged between 180 - 900 per half year
- Given that home building levels are strong for INVH's partners, costs are rising but not too dramatically, we have conviction that the company should be able to acquire new homes at its historical rate
- Additionally, INVH is constantly searching for opportunities to acquire existing home portfolios and is willing to buy in bulk; we expect a few such acquisitions over the projection period

Sources: Company Filings, Visible Alpha

Street's View on Costs

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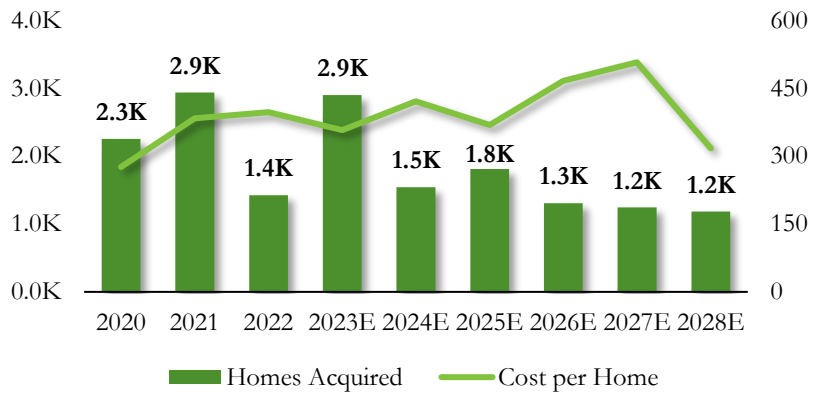
Street is underwriting higher costs for homes

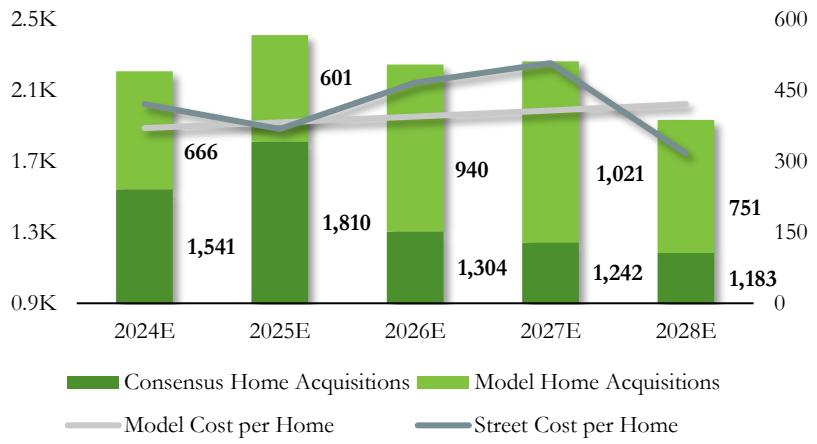
Street View on Home Acquisitions and Price



Thesis View

- We have conviction that the cost per new acquired home will not rise as dramatically street is suggesting
- We agree that it will rise, but have conviction that at most this will be at the industry-wide rate
- INVH has a proven acquisition pipeline with homebuilders that lets it purchase homes below market prices – these prices are fixed upon entry into contracts
- Other variables that raise price, such as new geographies or new types of homes purchased, are not changing

Theis Variance on Home Acquisitions and Price



How the Thesis Drives Upside

- We agree with Street on the amount of capital that INVH will deploy for acquisitions over the next five years
- As mentioned above, we directionally agree with Street in that home prices will increase, but we believe that they will do so at the macro rate
- This implies that we believe that INVH will be able to make more acquisitions because the denominator in the equation of how many homes it can buy (capital deployed/cost per home) will be lower

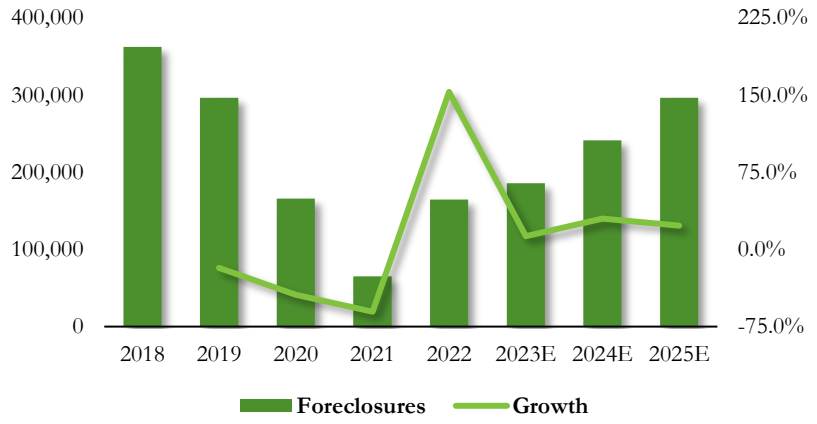
Sources: Company Filings, Visible Alpha

Uptick in Foreclosures

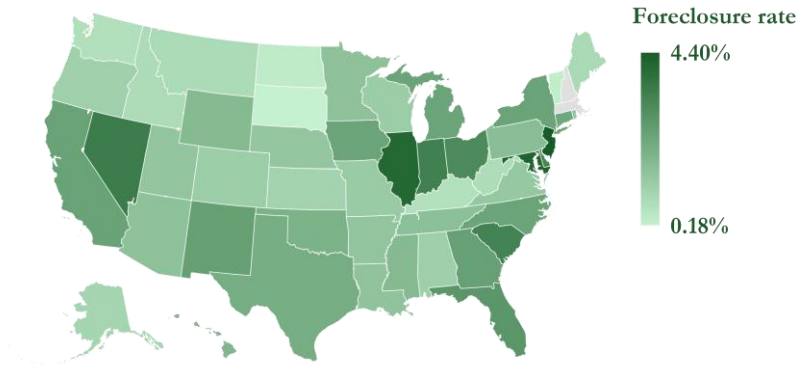
invitationhomes

An increase in foreclosures will allow INVH to purchase additional homes for pennies on the dollar

Foreclosure Estimates



Foreclosure Rates Across the US



Implications for Invitation Homes

- INVH is constantly looking for opportunities to purchase homes at attractive cap rates, and it has capital ready to deploy and do so
- The majority of the foreclosures will be in the Sunbelt region, which is where INVH focuses its acquisitions
- This creates an opportunity for the company to add to its portfolio at attractive cap rates as foreclosed home values will be depressed
- Additionally, foreclosed homes can not be easily bought by individuals, which will give INVH an advantage to buy them in bulk from lending institutions

- It is difficult to directly model this thesis in because we were unable to get exact data on projected foreclosures by geography in 2024 and 2025
- Nonetheless, the trend supports the overarching idea that INVH will be able to acquire more homes than expected over the next few years
- In turn, this implies that NOI will be greater than consensus because of a higher number of rental units

Sources: Company Filings, FRED, IBISWorld

Summary of Differentiation

invitationhomes

Thesis I focuses differentiation in the number of homes INVH will acquire

Why Street is Bearish

- With MLS inventory being at a low, street is baking in slow acquisition growth due to lack of supply on the market
- Street view is further supported by the recent earnings call, where management confirmed housing inventory shortage

"There are less single-family homes for rent on market today than there were 2 or 3 years ago. […] We see it on both sides of the transaction. We are active in the MLS market as a buyer trying to buy assets [and] we are not finding a lot of transactions in that environment because we get outbid" **~Dallas B. Tanner, *CEO***

Summary of Thesis View

- We have conviction in higher home acquisitions for three key reasons:
  - INVH's partnerships with homebuilders create a reliable pipeline of homes for acquisition; we believe that this pipeline will continue at historical levels
  - The cost per home acquired will not increase as Street is suggesting
  - Foreclosures in the Sunbelt regions will give INVH the opportunity to acquire existing homes – similar to portfolio acquisitions

Acquisition Mix and Implications

Summary - Home Acquisitions					
	2024E	**2025E**	**2026E**	**2027E**	**2028E**
Historical Acquisitions Method	2,661	3,076	2,946	2,980	2,976
Weight	50%	50%	50%	50%	50%
Cost per Home Method	1,753	1,745	1,543	1,547	892
Weight	50%	50%	50%	50%	50%
Modeled Homes Acquired	**2,207**	**2,411**	**2,244**	**2,263**	**1,934**
Consensus Homes Acquired	**1,541**	**1,810**	**1,304**	**1,242**	**1,183**

Store Acquisitions modelled through the use of two methods: **Historical Acquisitions** Method & **Cost per Home** Method

An equal weighting is assigned to each method, resulting in significant variance from Street acquisition estimates

IV.

Thesis II

Cap Rate Arbitrage Strategy

invitationhomes

Management has a history of successfully selling low-cap rate and buying high-cap rate properties

Arbitrage Strategy

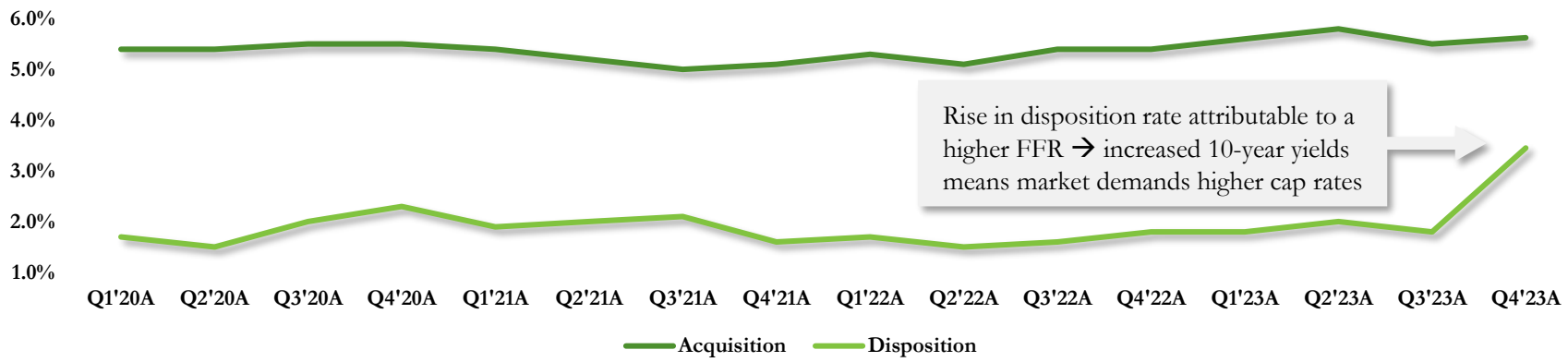
- Invitation's real estate portfolio will often see homes increase in price, with the growth of market values outpacing growth in rents, leading to a lower cap rate
- Management will take this opportunity to sell these homes and buy some at a higher cap rate in a form of arbitrage
- Cap rate arbitrage represents a core part of management's operating strategy, allowing consistent and efficient FFO growth to ensure consistently high portfolio-wide cap rates

Street View

- Street underwrites convergence between acquisition and disposition cap rates, rendering this strategy useless

	2024E	2025E	2026E	2027E	2028E
Acquisition	5.5%	5.4%	5.3%	5.2%	5.0%
Disposition	3.4%	3.6%	3.9%	4.0%	5.0%

Traditional Cap Rates of Acquisitions/Dispositions



Sources: SEC Filings, VisibleAlpha

Acquisition Cap Rates

invitationhomes

Street views acquisition cap rates as narrowing to market rates

Street View

- The market is saturated in INVH's key areas of expertise
- When the Fed Funds Rate falls, cap rates should fall as well
- Because of this, builders have a strong incentive to sell direct to the public – less likely to sell to INVH directly

"We're writing offers in sort of the high 5, low 6 cap rate range. Those homes continue to trade away from us to end users who are paying prices that, based on our cash flow underwriting, are low to mid-5 cap rates."
~ Jonathan Olsen, CFO

Win-Win-Win on Builder Pipeline

- Partnership incentives are strong for all stakeholders
- For builders, no mortgage drawdowns, strategic advisory, a sizeable pre-construction deposit, and a guaranteed buyer
- For Invitation, custom-built for-rent homes and a purchase price discount from bulk buy, meaning higher cap-rates
- For renters, tenants develop more of an attachment to newer homes and are therefore likely to stay longer
- Strong and growing pipeline of homes from builders

Builder Pipeline by Delivery Time

	Homes	Q4 '23	24	After	Avg Cost	Total
SoCal	127		54	73	540K	68.5M
Phoenix	150	10	50	90	420K	63.0M
Tampa	554	108	192	254	320K	177.2M
Orlando	540	74	70	396	430K	232.2M
Atlanta	132	8	46	78	320K	42.2M
Carolinas	331	12	136	183	410K	135.7M
South FL	27	16	11	-	360K	9.7M
Dallas	70	14	52	4	310K	21.7M
Total/Avg	1931	242	611	1078	388K	750.4M

Modelling

	2024E	2025E	2026E	2027E	2028E
Street Acquisition Cap Rate	5.53%	5.43%	5.25%	5.19%	5.00%
Modeled Acquisition Cap Rate	5.71%	5.88%	6.05%	6.23%	6.40%
Variance	*0.17%*	*0.45%*	*0.80%*	*1.04%*	*1.40%*

Long-term acquisition cap rate was obtained by looking at historic cap rates (5.40%) around a similar FFR and applying a premium for private markets vs MLS, as builder partnerships are new.

Sources: Company Filings, Visible Alpha

Disposition Cap Rates

invitationhomes

Street views disposition cap rates converging on acquisition cap rates

Explaining Historically Low Cap Rates

- Cap rates operate as a function of price and rental income – higher rental yields (ceteris paribus) mean higher cap rates and higher home prices mean lower cap rates
- Invitation's portfolio has historically operated in the Sunbelt region, which has seen an explosion in the market value of homes (and subsequently, lower cap rates)
- Management additionally filters out homes that have seen the most explosive price growth, subject to expertise

Street View

- Sunbelt region has experienced massive explosion of home price growth in the past decade which has allowed for dispositions at a very low cap rate due to higher prices
- As price growth slows (Street underwriting 4% CAGR to 2028 compared to 7% CAGR L3Y), dispositions will occur at lower prices, which will cause higher cap rates
- Disposition cap rates are likely to converge on market rates as rent and price grow in tandem

Differentiated View

- INVH has a very strong network of people to sell to that are willing to pay a premium to existing market rates
  - Primarily, INVH has had a historic policy of offering homeowners first right of refusal; this is a form of interest convergence, as homeowners are often willing to pay a premium to market rates to continue living in their home with minimal disruptions
  - Additionally, there is a network of previous renters, past leasing, and investors they've sold to before

Modelling

	2024E	2025E	2026E	2027E	2028E
Street Disposition Cap Rate	3.44%	3.65%	3.88%	4.00%	5.00%
Modeled Disposition Cap Rate	3.24%	3.56%	3.87%	4.19%	4.50%
Variance	***0.20%***	***0.09%***	***0.01%***	***-0.19%***	***0.50%***

Long-term disposition cap rate was obtained by looking at historic cap rates (5.40%) around a similar FFR and applying a discount for price premiums as well as selective bias for homes that outperform.

Sources: Company Filings, Tegus

V.

Valuation

Discounted Cash Flow Model

invitationhomes

Dividend Discount Model

	2024E	2025E	2026E	2027E	2028E
Net Income	454.5	586.7	552.7	572.0	707.9
Depreciation and amortization on real estate assets	660.9	683.4	693.7	704.1	712.7
Net gain on sale of previously depreciated investments in real estate	90.6	88.4	104.4	99.4	94.7
Impairment on depreciated real estate investments	15.7	16.3	16.5	16.8	17.0
Minority interest, net of taxes	2.0	2.2	2.3	2.4	2.4
Funds from operations (FFO)	**1,042.5**	**1,200.2**	**1,160.8**	**1,195.9**	**1,345.3**
Non cash interest expenses - CFFO	35.5	35.3	35.9	35.5	33.1
Share-based compensation expense - CFFO	30.8	32.0	34.2	35.0	38.6
Total other adjustments - CFFO	7.5	5.0	2.1	2.5	2.5
Total adjustments to CFFO	73.8	72.3	72.2	73.0	74.2
Core funds from operations (Core FFO)	**1,116.3**	**1,272.5**	**1,233.0**	**1,268.9**	**1,419.5**
Recurring capex & Value enhancing capex	(181.6)	(190.4)	(199.6)	(204.9)	(226.4)
Adjusted funds from operations (AFFO)	**934.7**	**1,082.1**	**1,033.4**	**1,064.0**	**1,193.1**
Weighted Average Shares Outstanding - Diluted	615.9	619.8	625.6	630.5	635.4
Diluted EPS	0.74	0.95	0.88	0.91	1.11
FFO per share	1.69	1.94	1.86	1.90	2.12
AFFO per share	1.52	1.75	1.65	1.69	1.88
FFO Payout Ratio	62.6%	64.4%	65.9%	65.5%	72.5%
Dividend per share	**1.06**	**1.25**	**1.22**	**1.24**	**1.54**
PV of Dividend	0.98	1.06	0.95	0.89	1.01

Share Price Calculation	
Cost of Equity	8.65%
Perpetuity Growth Rate	3%
Sum of PV DPS	4.89
PV of Terminal Value	38.45
Implied Share Price	**43.34**
Upside	30.3%
IRR	15.3%

All dollar values in US$ unless otherwise stated

Discounted Cash Flow Model

invitationhomes

Revenue Model

Same Store Revenue Build	2020A	2021A	2022A	2023E	2024E	2025E	2026E	2027E	2028E
Average Homes		71839	73446	75453	78301	81755	84637	87457	90217
Occupancy	97.5%	98.2%	97.7%	97.3%	97.0%	97.0%	96.9%	96.8%	96.8%
Average Rent/Month	1874.5	1969.5	2150.8	2305.0	2407.8	2476.1	2490.8	2546.5	2788.0
Rental Revenue		1667.7	1852.4	2030.4	2195.1	2355.3	2450.1	2588.2	2920.9
Other Property Income		41.1	75.7	60.5	62.8	65.5	67.8	70.1	72.3
Total Same Store Revenue		**1708.8**	**1928.2**	**2090.9**	**2257.9**	**2420.8**	**2517.9**	**2658.3**	**2993.2**

Non-Same Store Revenue Build	2020A	2021A	2022A	2023E	2024E	2025E	2026E	2027E	2028E
Average Homes		6798	7251	6888	6097	10037	6973	5763	4155
Occupancy	81.4%	86.0%	79.5%	89.4%	88.9%	86.8%	94.2%	94.7%	95.2%
Average Rent/Month	1879.1	1989.8	2221.9	2163.1	2266.6	2681.8	2697.6	2758.0	3019.5
Rental Revenue		139.5	153.8	159.8	147.4	280.5	212.6	180.6	143.3
Other Property Income		3.9	7.5	5.5	4.9	8.0	5.6	4.6	3.3
Total Non-Same Store Revenue		**143.4**	**161.2**	**165.3**	**152.3**	**288.5**	**218.2**	**185.2**	**146.6**

TOTAL REVENUES (excl. acq / disp)	**1852.2**	**2089.4**	**2256.2**	**2410.2**	**2709.3**	**2736.1**	**2843.5**	**3139.9**

All dollar values in US$ unless otherwise stated

Discounted Cash Flow Model

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Income Statement

Income Statement	2021A	2022A	2023E	2024E	2025E	2026E	2027E	2028E
Total Revenues (Excl. Acq/Disp)	1852.2	2089.4	2256.2	2410.2	2709.3	2736.1	2843.5	3139.9
Property Operating & Maintenance Expense (Excl. Acq/ Disp)	655.1	734.1	836.3	864.2	971.5	981.1	1019.6	1125.8
% Margin	*35.4%*	*35.1%*	*37.1%*	*35.9%*	*35.9%*	*35.9%*	*35.9%*	*35.9%*
Property NOI	**$1,197.1**	**$1,355.3**	**$1,419.9**	**$1,546.0**	**$1,737.9**	**$1,755.1**	**$1,824.0**	**$2,014.1**
Property Management Expense	66.4	82.1	90.4	92.6	104.1	105.1	109.2	120.6
% Margin	*3.6%*	*3.9%*	*4.0%*	*3.8%*	*3.8%*	*3.8%*	*3.8%*	*3.8%*
Net Acquisition NOI	58.4	26.3	43.8	35.5	41.7	37.3	38.2	31.4
Net Operating Income	**1189.1**	**1299.5**	**1373.3**	**1488.9**	**1675.5**	**1687.3**	**1752.9**	**1924.8**
General and Admin Expenses	75.8	74.0	80.1	79.9	82.6	83.9	85.1	86.2
D&A	592.1	638.1	672.5	660.9	683.4	693.7	704.1	712.7
Impairment	8.7	28.7	7.9	15.7	16.3	16.5	16.8	17.0
Operating Income	**512.4**	**558.7**	**612.8**	**732.4**	**893.3**	**893.3**	**946.9**	**1109.0**
Interest Expense	322.7	304.1	332.5	355.8	377.4	430.3	458.8	445.8
Total Other Income/Expenses	(16.8)	(24.8)	(21.5)	(10.7)	(15.3)	(12.4)	(13.1)	(47.6)
Gain/Loss on Sale	60.0	90.7	162.8	90.6	88.4	104.4	99.4	94.7
Net Loss Attributable to NCI	1.7	2.1	2.2	2.0	2.2	2.3	2.4	2.4
Net Income	**231.3**	**318.4**	**419.3**	**454.5**	**586.7**	**552.7**	**572.0**	**707.9**

All dollar values in US$ unless otherwise stated

Discounted Cash Flow Model

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Acquisitions / Dispositions Build

Modeling out Acquisitions / Dispositions													
	2020A	**2021A**	**2022A**	**Q1'23A**	**Q2'23A**	**Q3'23A**	**Q4'23E**	**2023E**	**2024E**	**2025E**	**2026E**	**2027E**	**2028E**
Homes Acquired	2,252	2,938	1,423	181	188	2,257	232	2,858	2,207	2,411	2,244	2,263	1,934
Cost / Home Acquired	0.307	0.419	0.422	0.343	0.326	0.373	0.382	0.369	0.370	0.382	0.394	0.407	0.421
Acquisition Amount Invested	**690.7**	**1230.0**	**601.0**	**62.0**	**61.3**	**842.0**	**88.5**	**1053.9**	**816.3**	**921.1**	**884.9**	**921.9**	**813.4**
Homes Disposed	1,580	734	691	284	361	397	313	1,355	816	796	940	895	852
Cost / Home Disposed	0.280	0.332	0.366	0.336	0.371	0.380	0.371	0.366	0.419	0.440	0.446	0.513	0.539
Disposition Amount Received	**442.0**	**243.5**	**253.0**	**95**	**134**	**151**	**116**	**496.4**	**341.7**	**349.8**	**419.0**	**459.3**	**459.3**
Acquisition Cap Rate	5.50%	5.19%	5.27%	5.60%	5.80%	5.50%	5.62%	5.53%	5.71%	5.88%	6.05%	6.23%	6.40%
Disposition Cap Rate	1.95%	2.24%	2.12%	1.80%	2.00%	1.80%	3.45%	2.93%	3.24%	3.56%	3.87%	4.19%	4.50%
Spread	**3.55%**	**2.95%**	**3.15%**	**3.80%**	**3.80%**	**3.70%**	**2.17%**	**2.61%**	**2.46%**	**2.32%**	**2.18%**	**2.04%**	**1.90%**
Acquisition NOI	38.0	63.8	31.7	3.5	3.6	46.3	5.0	58.3	46.6	54.1	53.6	57.4	52.1
Disposition NOI	8.6	5.5	5.4	1.7	2.7	2.7	4.0	14.5	11.1	12.4	16.2	19.2	20.7
Differential NOI	**29.4**	**58.4**	**26.3**	**1.8**	**0.9**	**43.6**	**1.0**	**43.8**	**35.5**	**41.7**	**37.3**	**38.2**	**31.4**

All dollar values in US$ unless otherwise stated

Discounted Cash Flow Model

invitationhomes

House Portfolio Build

Projected Houses									
	2020A	**2021A**	**2022A**	**2023E**	**2024E**	**2025E**	**2026E**	**2027E**	**2028E**
Beginning Stores	79,505	80,177	82,381	83,113	84,616	87,663	89,278	90,582	91,950
Acquired Stores	2,252	2,938	1,423	2,858	2,207	2,411	2,244	2,263	1,934
Disposed Stores	1,580	734	691	1,355	816	796	940	895	852
Ending Stores	**80,177**	**82,381**	**83,113**	**84,616**	**87,663**	**89,278**	**90,582**	**91,950**	**93,032**
Average Stores	**79841**	**81279**	**82747**	**83865**	**86139**	**88470**	**89930**	**91266**	**92491**
Net Acquisitions	**672**	**2204**	**732**	**1503**	**1391**	**1615**	**1304**	**1368**	**1081**
Consensus Same Stores	71433	72245	74646	76259	76138	76138	76138	76138	76138
Projected Same Stores	**71433**	**72245**	**74646**	**76259**	**80343**	**83166**	**86108**	**88806**	**91628**
Average Projected Same Stores		**71839**	**73446**	**75453**	**78301**	**81755**	**84637**	**87457**	**90217**
Consensus Non-Same Stores	8072	7932	7735	6854	8478	9338	10071	10470	10817
Projected Non-Same Stores	**8072**	**7932**	**7735**	**6854**	**5928**	**4497**	**3170**	**1776**	**323**
Average Projected NS Stores		**8002**	**7834**	**7294**	**6391**	**5212**	**3833**	**2473**	**1049**

All dollar values in US$ unless otherwise stated

Comparable Companies

invitationhomes

Comparable Companies Analysis

Company Name	Market Cap	Enterprise Value	EV / EBITDA	EV / Revenue	Per Share Earnings	Per Share FFO	Per Share AFFO	Price / Earnings	Price / FFO	Price / AFFO
Single-Family Residential REITs										
Invitation Homes Inc. (NYSE:INVH)	$ 20,349	$ 28,015	20.9x	11.8x	$ 0.80	$ 1.52	$ 1.41	41.5x	30.2x	23.5x
American Homes 4 Rent (NYSE:AMH)	$ 12,699	$ 17,023	21.5x	10.7x	$ 1.08	$ 1.56	$ 4.12	32.5x	30.1x	8.5x
Broader Residential REITs										
Equity Residential (NYSE:EQR)	$ 22,463	$ 30,216	17.2x	10.6x	$ 1.80	$ 3.62	$ 3.62	32.9x	22.0x	16.3x
Equity LifeStyle Properties, Inc. (NYSE:ELS)	$ 12,438	$ 15,913	24.3x	10.8x	$ 1.58	$ 2.71	$ 2.71	42.1x	31.5x	24.6x
Sun Communities, Inc. (NYSE:SUI)	$ 15,436	$ 23,236	19.0x	7.4x	$ 1.83	$ 6.87	$ 6.87	67.8x	27.2x	18.1x
Essex Property Trust, Inc. (NYSE:ESS)	$ 15,178	$ 21,045	18.9x	12.4x	$ 8.19	$14.38	$14.38	28.9x	22.8x	16.4x
Veris Residential, Inc. (NYSE:VRE)	$ 1,459	$ 3,362	18.3x	8.4x	-$ 0.76	$ 0.97	$ 0.97	(20.7x)	37.5x	16.3x
UDR, Inc. (NYSE:UDR)	$ 12,067	$ 17,991	18.0x	11.0x	$ 1.39	$ 2.30	$ 2.21	26.5x	23.7x	16.6x
AvalonBay Communities, Inc. (NYSE:AVB)	$ 25,170	$ 32,738	19.7x	12.1x	$ 6.55	$ 9.55	$ 9.55	27.1x	24.2x	18.6x
Camden Property Trust (NYSE:CPT)	$ 10,226	$ 13,871	15.6x	9.0x	$ 2.12	$ 6.74	$ 5.89	45.1x	19.3x	16.3x

Commentary

As one of the premier companies in the residential REIT space, Invitation trades at a premium to most competitors due to its scale, margin benefits, and irreplicable portfolio. Furthermore, management's strong track record as capital allocators, coupled with the vast consolidation opportunity in the space results in a high (yet justified) multiple

All dollar values in US$ unless otherwise stated

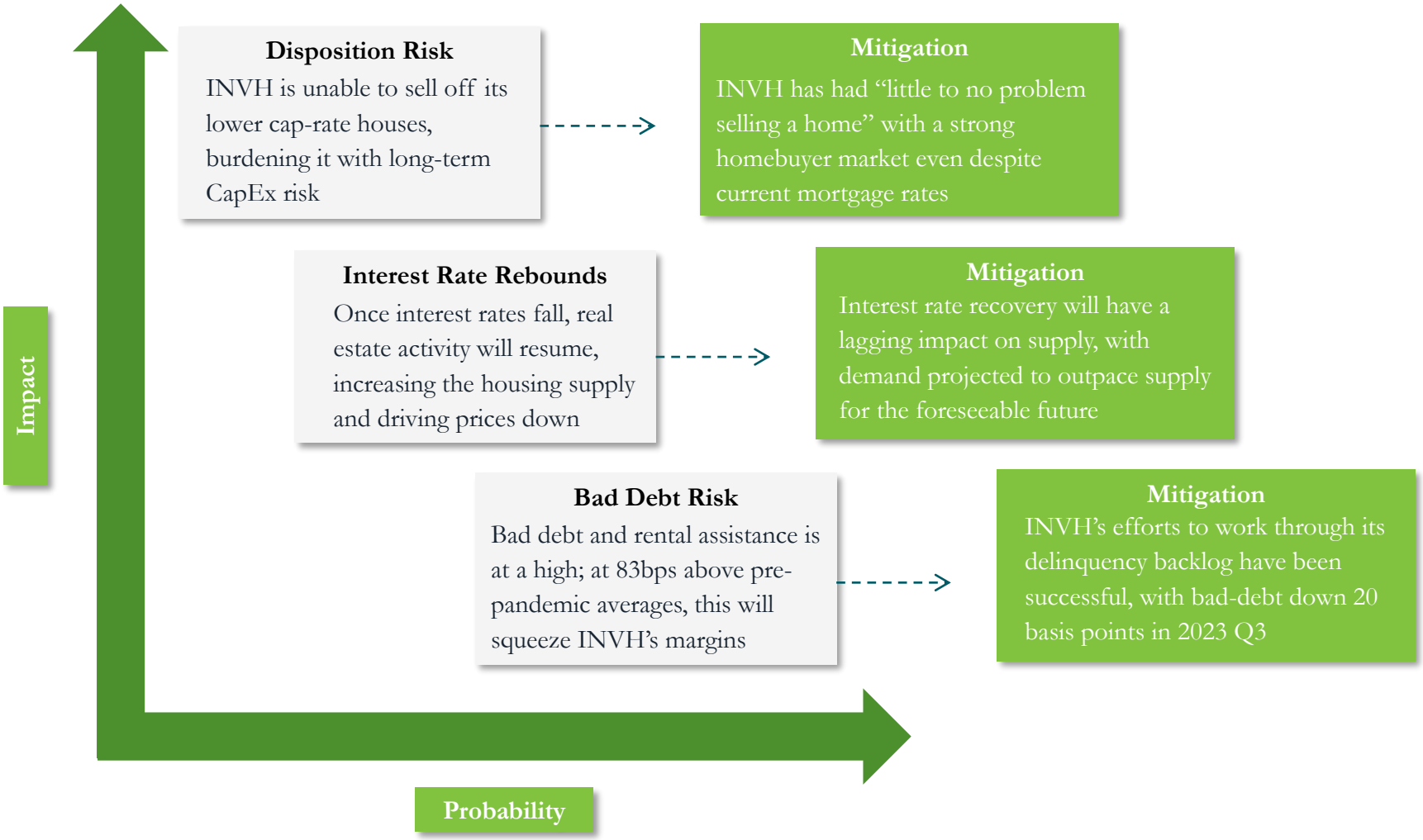
VI.

Risks and Catalysts

Risks and Mitigations

invitationhomes

Several risks could have adverse impacts on INVH



Sources: Company Filings

Catalysts

invitationhomes

Several catalysts will lead the stock price to appreciate

Quarterly Earnings Come Out

- 2023 Q4 quarterly earnings are a short-term catalyst for stock price appreciation, as gains from management's acquisition-disposition strategy are realized
- Earnings from INVH's recent acquisitions will be reported, showcasing net operating income upside and cap rate expansion from new additions

Short-Term

Rise in Foreclosures

- With the current interest rate environment, many homeowners are struggling to maintain mortgage payments on their properties, leading to an increase in foreclosures
- Rise in foreclosures in America will provide INVH with exclusive off the market supply, enabling INVH to purchase ample inventory at a ~20% discount

Improved Efficiency With Scale

- As INVH continues to acquire houses and increase density, it improves its operational efficiency through decreasing overhead costs
- This will boost net operating income, with INVH benefitting from economies of scale

Mid-Term

Continued Acquisitions

- Execution on acquisitions will drive net operating income increases, as rental revenue continues to increase on portfolio expansion
- New acquisitions are purchased at a higher cap rate and low cap rate properties are disposed, driving a stronger portfolio with higher returns

Long-Term

Sources: Company Filings

Invitation Homes (NYSE: INVH)

5-year IRR: 15.3%
Implied Upside: 30.3%

Real Assets Group

Analysts: Anne Fang, Manuja Weerasinghe, Aaru Chandra, Thomas Cwintal, Erin Lau, Saahil Sheth

Researchers: Abdullah Khan, Angelina Zhong, Chloe Ding, Jack Sinclair, Jackson Densham, Leo Kadic

January 28th, 2024

Western Investment Club